

# Lone Star Repair Group LLC

BDO: John Smith, Jane Smith

Referral Source: Business Broker  
Referral Firm: Nashville Business Brokers  
Referral Fee: 1.00%

## LOAN STRUCTURE

|                     | T BANK         |              |              | BORROWER      |              |              | OTHER       |               |
|---------------------|----------------|--------------|--------------|---------------|--------------|--------------|-------------|---------------|
|                     | 7(A) EXPRESS   | CAPLINE      | CONVENTIONAL | P&E           | EQUITY       | SELLER NOTE  | 3RD PARTY   | USDA          |
| Amount              | \$300,004.00   | \$300,005.00 | \$30,000.00  | \$1,000.00    | \$300,006.00 | \$300,007.00 | \$30,000.00 | \$20,000.00   |
| Rate                | 9.00%          | N/A          | 9.00%        | Prime + 1.50% | N/A          | 8.00%        | 6.24%       | Prime + 1.50% |
| Term                | 10 years       | -            | 10 years     | 10 years      | -            | 10 years     | 25 years    | 10 years      |
| Guarantee           | 24%            | 60%          | 50%          | 75%           | 54%          | 2%           | 3%          | 50%           |
| T Bank Total        | \$631,009.00   |              |              | \$300,006.00  | \$350,007.00 |              |             |               |
| T Bank Net Exposure | \$363,255.04   |              |              |               |              |              |             |               |
| Total Project       | \$1,281,022.00 |              |              |               |              |              |             |               |

## RISK SCORES

| CATEGORY | REPAYMENT | MANAGEMENT | EQUITY | COLLATERAL | CREDIT | LIQUIDITY | TOTAL |
|----------|-----------|------------|--------|------------|--------|-----------|-------|
|          | 5         | 5          | 1      | 0          | 2      | 2         | 15    |

## PROJECT INFORMATION

| PRIMARY LOAN PURPOSE | INDUSTRY              | NAICS CODE |
|----------------------|-----------------------|------------|
| Startup              | Dental Repair Service | 722511     |

this is a project desctiption boxes that should have stuff in it for importing reasoning

## KEY INDIVIDUALS

| NAME           | ROLE                | OWNERSHIP % | INVOLVEMENT      | EXPERIENCE       | NET WORTH | POST-CLOSE LIQUIDITY | REQUIRED INCOME FROM BUSINESS |
|----------------|---------------------|-------------|------------------|------------------|-----------|----------------------|-------------------------------|
| Kathy Bethel   | owner-guarantor     | 25.00%      | active-full-time | Direct - 9 years | -         | -                    | -                             |
| Shane Rachel   | owner-non-guarantor | 25.00%      | active-part-time | -                | -         | -                    | -                             |
| Anna Haynes    | owner-guarantor     | 25.00%      | passive          | -                | -         | -                    | -                             |
| David Clifford | owner-non-guarantor | 25.00%      | active-part-time | -                | -         | -                    | -                             |

## SOURCES AND USES

| USE CATEGORY         | P&E          | USDA        | CONVENTIONAL | SBA 7(A) EXPRESS | SBA CAPLINE | EQUITY     | SELLER NOTE | 3RD PARTY   | TOTAL          |
|----------------------|--------------|-------------|--------------|------------------|-------------|------------|-------------|-------------|----------------|
| %                    | 19.2%        | 5.1%        | 40.3%        | 0.2%             | 0%          | 26.1%      | 5.0%        | 4.2%        | 100%           |
| Real Estate          | \$896,000.00 |             | \$896,000.00 |                  |             | \$8,000.00 | \$80,000.00 | \$16,000.00 | \$1,896,000.00 |
| Debt Refi CRE        | \$5,387.00   | \$5,387.00  | \$5,387.00   |                  |             | \$10.00    | \$1.00      | \$2.00      | \$16,174.00    |
| Debt Refi Non-CRE    |              | \$55,987.00 | \$55,987.00  |                  |             | \$10.00    | \$1.00      | \$2.00      | \$111,987.00   |
| Equipment            |              |             |              |                  |             | \$10.00    | \$1.00      | \$2.00      | \$13.00        |
| Furniture & Fixtures | \$2,499.00   | \$2,499.00  | \$499.00     |                  |             | \$10.00    | \$1.00      | \$2.00      | \$5,510.00     |
| Inventory            | \$4,202.00   |             | \$4,202.00   |                  |             | \$10.00    | \$1.00      | \$2.00      | \$8,417.00     |
| Business Acquisition | \$2,919.00   | \$2,919.00  | \$2,919.00   |                  |             | \$10.00    | \$1.00      | \$2.00      | \$8,770.00     |
| Working Capital      |              | \$84,348.00 |              |                  |             | \$10.00    | \$1.00      | \$2.00      | \$84,361.00    |

| USE CATEGORY                  | P&E          | USDA         | CONVENTIONAL   | SBA 7(A)<br>EXPRESS | SBA<br>CAPLINE | EQUITY         | SELLER NOTE  | 3RD PARTY    | TOTAL          |
|-------------------------------|--------------|--------------|----------------|---------------------|----------------|----------------|--------------|--------------|----------------|
| Working Capital - Pre Opening |              | \$58,397.00  |                |                     |                | \$10.00        | \$1.00       | \$2.00       | \$58,410.00    |
| Franchise Fees                | \$3,593.00   | \$3,593.00   |                |                     |                | \$10.00        | \$1.00       | \$2.00       | \$7,199.00     |
| Construction Hard Costs       | \$45,097.00  | \$45,097.00  |                |                     |                | \$10.00        | \$1.00       | \$2.00       | \$90,207.00    |
| Interim Interest Reserve      | \$8,000.00   | \$200.00     |                |                     |                | \$373,817.00   | \$8,000.00   | \$800.00     | \$390,817.00   |
| Construction Contingency      |              |              |                |                     |                | \$60,000.00    | \$51,210.00  | \$8,880.00   | \$120,090.00   |
| Other Construction Soft Costs |              |              | \$1,095,120.00 | \$8,000.00          |                | \$900,000.00   | \$112,121.00 | \$88,880.00  | \$2,204,121.00 |
| Closing Costs                 | \$8,000.00   |              |                |                     |                | \$50.00        | \$5,841.00   | \$99,990.00  | \$113,881.00   |
| SBA Gty Fee                   | \$5,050.00   | \$80.00      | \$800.00       |                     |                | -\$5,050.00    |              |              | \$880.00       |
| Total                         | \$980,747.00 | \$258,507.00 | \$2,060,914.00 | \$8,000.00          | \$0.00         | \$1,336,917.00 | \$257,182.00 | \$214,570.00 | \$5,116,837.00 |

### CASH FLOW ANALYSIS

|           |           |           |              |
|-----------|-----------|-----------|--------------|
| 2022 DSCR | 2023 DSCR | 2024 DSCR | INTERIM DSCR |
| 0.60      | 0.33      | 0.20      | -0.13        |

## FINANCIAL SPREAD COMPARISON

IMPORT TEST\_New BDO Pre-Qual\_04.2026.xlsx — 4 periods

| FIELD                        | PERIOD 1    | PERIOD 2    | PERIOD 3   | PERIOD 4        |
|------------------------------|-------------|-------------|------------|-----------------|
| Statement Details            |             |             |            |                 |
| Period Label                 | Period 1    | Period 2    | Period 3   | Period 4        |
| Statement Date               | 12/31/2022  | 12/31/2023  | 12/31/2024 | 03/31/2025      |
| Months Covered               | 12          | 12          | 12         | 3               |
| Statement Type               | Tax Returns | Tax Returns | Form 10K   | Internal        |
| Revenue Recognition          | Accrual     | Accrual     | Cash       | Cash            |
| Gross Income                 |             |             |            |                 |
| Total Revenue                | \$9,000     | \$2,166     | \$1,145    | \$880           |
| Total COGS                   | \$50        | \$500       | \$400      | \$8,000         |
| Total Gross Margin           | \$8,950     | \$1,666     | \$745      | <b>-\$7,120</b> |
| Net Income                   |             |             |            |                 |
| Total Operating Expenses     | \$800       | \$800       | \$500      | \$5,000         |
| Ordinary Income              | \$8,150     | \$866       | \$245      | \$0             |
| Total Other Income/Expenses  | \$5,050     | \$6,050     | \$8,600    | \$3             |
| Net Income Before Taxes      | \$13,200    | \$6,916     | \$8,845    | \$3             |
| Add Backs & Adjustments      |             |             |            |                 |
| Standard Add Backs           | \$9,000     | \$4,562     | \$461      | \$621           |
| Other Add Back 1             | \$45        | \$46        | \$10       | \$11            |
| Other Add Back 2             | \$21        | \$21        | \$22       | \$23            |
| Other Add Back 3             | \$0         | \$0         | \$0        | \$0             |
| Other Add Back 4             | \$0         | \$0         | \$0        | \$0             |
| Other Add Back 5             | \$0         | \$0         | \$0        | \$0             |
| Debt Coverage                |             |             |            |                 |
| Cash Available               | \$0         | \$0         | \$0        | \$0             |
| Existing Debt Service        | \$600       | \$700       | \$8,000    | \$600           |
| Proposed 7(a) Debt           | \$152       | \$152       | \$152      | \$38            |
| Proposed 504 Debt            | \$0         | \$0         | \$0        | \$0             |
| Proposed CDC Debt            | \$0         | \$0         | \$0        | \$0             |
| Proposed Seller Note         | \$37,444    | \$37,444    | \$37,444   | \$9,361         |
| Proposed 3rd Party Financing | \$100       | \$200       | \$1,400    | \$3,000         |
| Total Debt Service           | \$38,296    | \$38,496    | \$46,996   | \$12,999        |

| FIELD                           | PERIOD 1 | PERIOD 2 | PERIOD 3 | PERIOD 4        |
|---------------------------------|----------|----------|----------|-----------------|
| Debt Coverage Ratio (DSCR)      | 0.60x    | 0.33x    | 0.20x    | <b>-0.13x</b>   |
| Global Debt Coverage            |          |          |          |                 |
| Affiliate Cash Available        | \$27,896 | \$17,543 | \$11,335 | \$18,581        |
| Subject Business Cash Available | \$22,265 | \$11,543 | \$9,335  | <b>-\$1,670</b> |
| Total Global Cash Available     | \$50,161 | \$29,086 | \$20,670 | \$16,911        |
| Affiliate Debt Service          | \$52,409 | \$43,496 | \$47,046 | \$13,119        |
| Subject Business Debt Service   | \$38,296 | \$38,496 | \$46,996 | \$12,999        |
| Total Global Debt Service       | \$90,705 | \$81,992 | \$94,042 | \$26,118        |
| Global DSCR                     | 0.55x    | 0.35x    | 0.22x    | 0.65x           |

### REPAYMENT

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### MANAGEMENT

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### COLLATERAL

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### CREDIT

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LIQUIDITY

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TOTAL SCORE

15 / 30

**BDO SUMMARY**

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Test

## BUSINESS QUESTIONNAIRE

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### Business Overview

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**1. Provide a brief history of the business, including the year established and ownership history.**

Provide a brief history of the business, including the year established and ownership history.

**2. Describe the business' value proposition and core competitive advantage(s).**

Example: Michelle was set as the BDO for the Loan

Borrower entered John Smith as the BDO in a PDF Form.

I uploaded a file (Business Applicant) and that is when the folder was created for John Smith.

I changed the BDO to myself, but the path has already been set.

**3. Explain how the business makes money, including a breakdown of revenue by product/service, the split between transactional and contracted business, and any key contracts, if applicable.**

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**4. Does the business require any licenses or permits to operate? How will you meet these requirements?**

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### Project Purpose - CRE: Construction

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**5. Describe the project scope in plain language—what are you building or improving, and why is it important to the business?**

*No response*

**6. What stage are you in today (concept, plans/design, permitting, contractor selection, ready to start), and what's left before work begins?**

*No response*

**7. Have you identified a contractor/GC (or how will you select one), and what gives you confidence in their ability to deliver?**

*No response*

**8. Have you received detailed bids/estimates, and how did you validate the scope (apples-to-apples comparisons, allowances, exclusions)?**

*No response*



**9. What is your expected timeline and critical milestones (start, major phases, completion, opening/ramp), and what could cause delays?**

*No response*

**10. Who is managing the project day-to-day on your side, and how will you monitor progress, budget discipline, and change orders?**

*No response*

**11. If costs run higher or timelines slip, what is your contingency plan (scope adjustments, phased buildout, interim operations, alternative vendors)?**

*No response*

## **Project Purpose - CRE: Purchase**

**12. Why does owning this property make sense for your business strategy versus continuing to lease?**

*No response*

**13. What drew you to this specific location (customer access, workforce, logistics, visibility, competitors, long-term viability)?**

*No response*

**14. How does the property fit your operational needs today and your growth plans over the next several years?**

*No response*

**15. What due diligence have you done on the property's condition and suitability (layout, functionality, known issues, constraints)?**

*No response*

**16. What improvements (if any) are needed to make it operational for your business, and how do you plan to execute them with minimal disruption?**

*No response*

**17. If any space is not immediately needed for your operations, what is your plan for that space (future growth, tenants, storage, etc.)?**

*No response*

**18. If closing is delayed or the property needs more work than expected, what is your backup plan to keep business plans on track?**

*No response*

## **Industry**

**19. What is your concept (service style, cuisine, positioning), and what makes it stand out in your local market?**

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**20. What relevant experience do you and your key team members have in restaurant operations?**

Example: Michelle was set as the BDO for the Loan

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I uploaded a file (Business Applicant) and that is when the folder was created for John Smith.

I changed the BDO to myself, but the path has already been set.

**21. How did you choose your location, and what about the surrounding area supports demand (daypart traffic, nearby anchors, competition)?**

Example: Michelle was set as the BDO for the Loan

Borrower entered John Smith as the BDO in a PDF Form.

I uploaded a file (Business Applicant) and that is when the folder was created for John Smith.

I changed the BDO to myself, but the path has already been set.

**22. What is your operating model (hours, staffing approach, dine-in vs takeout/delivery mix), and how does it fit local demand?**

Example: Michelle was set as the BDO for the Loan

Borrower entered John Smith as the BDO in a PDF Form.

I uploaded a file (Business Applicant) and that is when the folder was created for John Smith.

I changed the BDO to myself, but the path has already been set.

**23. How will you control key operational risks (labor scheduling, food cost management, waste/spoilage, consistency/quality)?**

Example: Michelle was set as the BDO for the Loan

Borrower entered John Smith as the BDO in a PDF Form.

I uploaded a file (Business Applicant) and that is when the folder was created for John Smith.

I changed the BDO to myself, but the path has already been set.

**24. What is your plan to drive awareness and repeat business (marketing channels, loyalty, reviews, community partnerships)?**

Example: Michelle was set as the BDO for the Loan

Borrower entered John Smith as the BDO in a PDF Form.

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I changed the BDO to myself, but the path has already been set.

**25. What are the biggest pressures you anticipate (labor availability, competition, price sensitivity, seasonality), and how will you respond?**

Example: Michelle was set as the BDO for the Loan

Borrower entered John Smith as the BDO in a PDF Form.

I uploaded a file (Business Applicant) and that is when the folder was created for John Smith.

I changed the BDO to myself, but the path has already been set.

## DUE DILIGENCE

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I'll research this application systematically before writing the report. Let me run multiple searches simultaneously. Now let me search for the business address, project address, and additional details simultaneously. Good. Now let me fetch the HAR.com page for the project address, and search for restaurant valuation multiples and Houston market conditions. I now have sufficient research to write the full report. The project address confirmed as a single-family residential property (3 bed/1 bath, 1,772 sq ft, built 1978, Parkhurst Estates subdivision). The business address is the JPMorgan Chase Tower — a major Class A office skyscraper. The NAICS code is definitively for Full-Service Restaurants, not dental repair. The website listed is amazon.com. These are major red flags requiring systematic documentation.

## SBA Pre-Screen Due Diligence Memorandum

**Prepared by:** Credit Analysis Team **Date:** May 11, 2026 **Applicant Legal Name:** Lone Star Repair Group LLC **DBA:** Dental Repair Shop LLC **Primary Purpose:** Business Acquisition **NAICS as Stated:** 722511

### 1. Executive Summary

The application presents a transaction with three independent, material inconsistencies that must be resolved before underwriting can proceed in any meaningful form. First, NAICS code 722511 is the classification for Full-Service Restaurants — establishments where patrons order, are served while seated, and pay after eating — which bears no relationship to the stated industry description of "Dental Repair Service." Second, the business address of 601 Travis, Houston, TX 77002 is the street address of a 20-story Class A office tower commonly known as JPMorgan Chase Tower, which is inconsistent with either a dental repair operation or a restaurant concept. Third, the project address at 7829 Linda Vista Rd, Houston TX 77028 is a single-family residential property in the Parkhurst Estates subdivision with an appraised value of approximately \$260,000 — not a commercial space consistent with a restaurant acquisition or dental service business. The website listed on the application is amazon.com, which is plainly not the applicant's business website. Neither the legal name nor the DBA returned verifiable entity records through public web sources, though the Texas SOS SOSDirect database requires a paid login and could not be searched directly. The project description field contains placeholder text ("this is a project description boxes that should have stuff in it for importing reasoning"), indicating the application is incomplete. Taken together, the application cannot be underwritten in its current form; the team should not advance the file until the inconsistencies catalogued in Section 8 are resolved by the applicant.

### 2. Business & Entity Profile

#### Entity Status

The applicant operates as **Lone Star Repair Group LLC** with a DBA of **Dental Repair Shop LLC**. Both names are asserted by the applicant; neither could be verified as a registered Texas entity through publicly accessible web sources. The Texas Secretary of State maintains its entity database in SOSDirect, which is a restricted database not openly available to the public like many other state databases. SOSDirect charges a \$1 fee per online search and requires an account; however, the Texas Comptroller maintains a separate, free taxable entity search that can be used as an initial check.

No search result linking either "Lone Star Repair Group LLC" or "Dental Repair Shop LLC" to an active Texas registration appeared in any commercial business directory, news source, or SOS-adjacent resource. This is not a definitive finding of non-existence — the entity may exist and simply lack a web footprint — but it is a gap that must be closed through direct SOSDirect lookup.

**Entity status is unverified.**

⚠ **Risk to the bank:** If neither legal entity is registered with the Texas Secretary of State, SBA eligibility requires the borrower to be an operating business organized as an eligible entity. An unregistered or dissolved LLC cannot be a borrower. This must be verified before any further processing.

#### Business Address — 601 Travis, Houston, TX 77002

601 Travis is a 20-story, 409,012-square-foot building that was renovated in 2011. It is more commonly known as JPMorgan Chase Tower. The property is described on commercial listing sites as a retail/office building in Houston's Skyline District with direct access to the Houston Light Rail and abundant parking. Current tenants identified in commercial databases include Gexa Energy, LP, Bank of New York Mellon Trust, and EDF Trading North America. No suite number was provided on the application.

⚠ **Risk to the bank:** A major Class A downtown office tower at a bare street address with no suite number is a classic indicator of a mail-drop or virtual office address. The SBA's Standard Operating Procedures specifically identify virtual office addresses used as the primary address of an operating business as a red flag requiring resolution. The loan officer must

obtain documentary proof — a signed lease, utility bill, or equivalent — demonstrating that the applicant occupies a real operational space at this location.

### Project Address — 7829 Linda Vista Rd, Houston, TX 77028

This address resolves to a single-family residential property. 7829 Linda Vista Rd is located in the Parkhurst Estates subdivision in Harris County. Per HAR.com property records sourced from the Harris County Appraisal District: the property is a **1,772 sq ft, 3-bedroom, 1.5-bath, single-story home built in 1978**, situated on a 15,599 sq ft lot. The county appraisal district market value is **\$260,812** (April 2026). Nearby properties on the same block carry legal descriptions consistent with a standard residential subdivision platted circa 1960. The property is currently not listed for sale.

This address is inconsistent with a restaurant acquisition, a dental repair business, or any commercial food-service or dental-industry use. No commercial zoning or use designation was identified for this parcel from available public sources; Harris County Appraisal District records indicate residential classification.

⚠ **Risk to the bank:** Financing a business acquisition where the "project address" is a residential parcel raises multiple SBA eligibility questions: Is the acquisition target actually a business operating at a commercial address? Is this a home-based business (for which SBA has specific restrictions)? Is the address an error? The applicant must clarify what business is being acquired, where it operates, and what the project address actually represents in the transaction structure.

### Website

The application lists **amazon.com** as the business website. Amazon.com is a publicly traded e-commerce and technology company and is plainly not this applicant's website.

⚠ **Risk to the bank:** A false or placeholder website field on an SBA application is a direct integrity concern. This is either a data entry error or deliberate misrepresentation. It must be corrected and the applicant's actual web presence — if any — must be identified before proceeding.

### Industry Description vs. Entity Name

The legal name is "Lone Star Repair Group LLC" and the DBA is "Dental Repair Shop LLC." The stated industry is "Dental Repair Service." The NAICS code provided is 722511 — Full-Service Restaurants. These three data points are mutually inconsistent. A dental repair business is not a restaurant. See Section 3 for the NAICS conflict analysis.

### Key-Person and Continuity Profile

Application does not identify any owners, operators, or key personnel by name. No principal information is available from public sources. Owner-level diligence is a separate process, but the credit team should note that the complete absence of any discernible operational profile for this entity — no web presence, no industry-specific registrations surfaced, no reviews, no local news mentions — makes key-person assessment impossible at this stage.

## 3. Industry & NAICS Analysis

### NAICS Code Mismatch — Critical Finding

The applicant states an industry of "**Dental Repair Service**" but submits NAICS code **722511**. NAICS Code 722511 is a final level code in the "Accommodation and Food Services" sector. This industry comprises establishments primarily engaged in providing food services to patrons who order and are served while seated (i.e., waiter/waitress service) and pay after eating. Dental repair services — which would encompass repair of dental equipment, dental laboratory services, or similar — fall under entirely different NAICS codes (e.g., 811219 for "Other Electronic and Precision Equipment Repair and Maintenance" or 339114 for dental equipment manufacturing/repair).

⚠ **Risk to the bank:** A NAICS code that does not match the stated industry description is an application integrity failure. It may be a data entry error, but it may also reflect that the true nature of the acquisition target has not been clearly disclosed. The credit team cannot complete industry analysis, size standard verification, or SBA eligibility screening until the correct NAICS code is identified and confirmed.

### Full-Service Restaurant Industry Analysis (722511) — For Reference Only

Because the NAICS code as filed is 722511 and the primary purpose is a business acquisition, the following industry context is provided for the credit team's reference in the event the true acquisition target is in fact a restaurant. If the correct industry is dental repair or dental equipment services, this section should be replaced upon application correction.

**Industry Overview:** Full-service restaurants are establishments primarily engaged in providing food services to patrons who order and are served while seated, with payment occurring after eating. The business model relies on table turnover, labor-

intensive service, and a complex supply chain of perishable goods. Margins are thin — food costs typically run 28–35% of revenue and labor 30–35%, leaving EBITDA margins commonly in the 5–15% range for well-run independent operators.

**Recent Market Conditions:** In 2024, sales at full-service restaurants surpassed those at limited-service restaurants (36.3% versus 36.2%, respectively) of total food-away-from-home spending. However, the operating environment remains stressed. Intent to spend on restaurants is lower than two years ago, and in 2024, 20 large restaurant chains filed for bankruptcy — the most since 2020. 96% of full-service restaurants cited labor costs as a major challenge in 2024, 61% reported a decline in customer traffic between 2023 and 2024, and 39% said their business was not profitable in 2024.

**SBA Size Standard:** As of March 2023, the SBA set the size standard for NAICS 722511 at \$12 million in average annual receipts for the preceding five fiscal years. Independent full-service restaurants will almost universally be below this threshold.

**SBA Eligibility Considerations:** Full-service restaurants are generally SBA-eligible. However, any establishment deriving more than one-third of gross revenue from live entertainment (e.g., dinner theater) may face additional review. Franchise restaurants require a valid Franchise Disclosure Document and SBA Franchise Registry listing. Restaurants with gaming or certain adult-oriented entertainment may be ineligible.

#### Top Industry-Specific Risks for an Acquisition Loan:

| Risk | Description | |---|---| | Lease dependency | Restaurant value is tied to the real property lease; a short remaining term or landlord transfer restrictions can destroy deal value. | | Key-person / chef dependency | Revenue at independent restaurants often follows the chef or owner; buyer must assess transferability. | | Thin margins and food inflation | 95% of restaurants cite food costs as a significant challenge in 2024. Tariff-driven input cost increases in 2025 are compounding this. | | Labor cost and turnover | In 2024, turnover as a percentage of total restaurant employment was 65.8%; projected at 61.7% in 2025. Staffing costs are a primary margin risk. | | Post-pandemic recovery lag | Employment in full-service restaurants remained 4% below pre-pandemic levels as of August 2024, and the full-service segment continues to face the lengthiest recovery journey. |

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## 4. Barriers to Entry & Valuation Metrics

*Note: The analysis below is conducted for NAICS 722511 (Full-Service Restaurants) because that is the code as filed. If the actual acquisition target is a dental repair or dental services business, these benchmarks should be disregarded and the analysis re-run under the correct NAICS.*

### Barriers to Entry

#### Barriers to Entry: 2 / 5

Full-service restaurants occupy a fundamentally low-barrier industry at the structural level. The primary requirements to enter — a commercial lease, kitchen build-out, food handler permits, and basic business licensing — are widely accessible to any entrepreneur with modest capital and organizational capacity. While the upfront capital for a new build can reach \$500,000–\$1,000,000 or more depending on market and concept, the key inputs (commercial real estate, equipment, labor, food supply) are not scarce or controlled by incumbents.

Brand and reputation create some defensibility for established independents, as do loyal customer bases and long-term relationships with suppliers. However, these advantages are soft: a new competitor can open across the street and compete directly within weeks of lease signing. There are no licensing regimes that create meaningful exclusion — a general food service handler's permit and a health department license are obtainable by virtually any applicant who passes baseline sanitation requirements. In Texas, there is no cap on restaurant licenses and no geographic exclusivity.

The one structural factor elevating the score above a 1 is location: a prime commercial lease in a high-traffic area can be difficult to replicate once occupied, and a long-term lease at below-market rates represents genuine competitive value. For the acquisition scenario contemplated here, the transferability of any such lease is therefore a critical underwriting point. No specific differentiators for the applicant's concept are identifiable from the application.

### Valuation Metrics

**Revenue Multiple Range:** 0.25x – 0.55x annual revenue.

**Cash Flow Multiple Range:** 2.0x – 3.0x SDE. SDE (Seller's Discretionary Earnings) is the appropriate measure for this business type because discretionary earnings — used interchangeably with "cash flow" and seller's discretionary earnings — is often the crux of business valuations for restaurants, and SDE is the standard benchmark for restaurants sold on the business-for-sale market. SDE reflects the true cash flow available to an owner-operator, and this method is favored by SBA lenders for its clarity.

**Market Context:** In 2022 and 2023, multiples for restaurants that survived the pandemic increased around 15% to new highs; median small restaurant business sales reached \$773,000 in 2025 — a 24% increase above 2021. However, thinner margins are driven by ongoing cost-of-goods increases associated with global inflation, and restaurant customers are sensitive to price increases, meaning rising costs are not completely passed through to consumers. On average, restaurants transact at an SDE

multiple of 2.14x – 2.96x. Valuation multiples typically range from 1.5x to 3x SDE, highly influenced by factors such as location, lease terms, brand reputation, and financial stability.

**Factors Pushing Toward the Top of the Range:** Long remaining lease term with favorable rent; strong and transferable repeat customer base; documented management team not dependent solely on the owner; positive review profile (4+ stars across platforms); stable revenue through 2023–2024; technology investment (online ordering, loyalty program); businesses with stable revenue through 2023 and 2024 are commanding more attention, as a track record of resilience signals a lower-risk investment.

**Factors Pushing Toward the Bottom:** Owner-operated with no management depth; short or unfavorable lease; revenue decline in 2023–2024; high customer concentration in a specific daypart; pending lease renegotiation; no online ordering; health code violations; through 2023–2025, average restaurant concepts have seen multiple compression as capital costs and risk premia increased.

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## 5. Local Market & Competitive Analysis

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### Houston MSA — General Dining Market

Houston is one of the most competitive and dynamic restaurant markets in the United States. The city has more than 12,000 restaurants and continues to attract culinary attention nationally. Houston was named one of Travel + Leisure's top 10 "Best Food Cities in the U.S." in 2024. In 2025, 44 Houston restaurants were included in the Michelin Guide. Demand at the top of the market is strong, but Houston's restaurant industry had a challenging 2025, with a notable number of high-profile closings ranging from established neighborhood eateries to upscale steakhouses.

For an acquisition-stage independent restaurant, the Houston market offers high consumer demand but intense competition, rising lease rates in desirable submarkets, and significant labor market pressure.

### Project Address Location — 77028 (Parkhurst Estates / East Houston)

The project address (7829 Linda Vista Rd, 77028) is in a residential neighborhood in northeast Houston. The area is sometimes referred to as East Houston and sits approximately 10 miles from downtown via I-10 West. The surrounding properties on Linda Vista Rd are residential, with appraised values in the \$120,000–\$260,000 range based on HAR.com data for the block.

⚠ **Risk to the bank:** A residential parcel in a suburban northeast Houston neighborhood is not a viable commercial restaurant location. If the "project address" is intended to represent the location of the business being acquired, it is incompatible with a full-service restaurant or any commercial food service operation. Zoning, health department permitting, and fire code for a restaurant at this address would not be achievable. This requires immediate clarification from the applicant.

### Competitor Analysis

Competitor analysis for the project location cannot be meaningfully conducted because the project address is a residential property with no identified commercial use. If the applicant clarifies the actual restaurant location in a subsequent correction, competitor analysis should be re-run for that specific address and trade area.

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## 6. Use of Proceeds Assessment

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The primary stated purpose is **Business Acquisition**. No secondary purposes are listed. The project description field reads: *"this is a project description boxes that should have stuff in it for importing reasoning"* — this is plainly placeholder text and provides zero substantive information about the transaction.

⚠ **Risk to the bank:** The total absence of a project description means the credit team has no basis to evaluate what is being acquired, at what price, from whom, under what terms, or what the loan proceeds would specifically fund. This is a fundamental incompleteness. The application cannot be screened for SBA use-of-proceeds eligibility, DSCR adequacy, or collateral sufficiency without this information.

A business acquisition loan under SBA 7(a) or 504 requires, at minimum: identification of the seller, the purchase price and allocation, a business valuation, the seller's financial statements (3 years), the acquisition agreement or letter of intent, and the applicant's plan for the business post-acquisition. None of these elements are present in this application.

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## 7. Online Presence & Reputation

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**Website:** The applicant provided **amazon.com**, which is not the applicant's website. No independent website for "Lone Star Repair Group LLC" or "Dental Repair Shop LLC" was identified through web search.

**Google Business Profile:** Not found for either the legal name or the DBA at either the business or project address.



**Yelp / BBB:** No listings found for either name.

**Social Media:** No social media profiles identified for either entity.

**News Coverage:** No local or regional news mentions found for either entity.

**Industry Reviews:** Not applicable — no operational profile identified.

The applicant has no discernible online presence under either its legal name or DBA. For a business acquisition loan, an absence of online presence for the *acquiring entity* is less critical than for the *target business* — but the complete absence of any footprint for either name, combined with the other red flags, reinforces the pattern of an incomplete or placeholder application.

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## 8. Key Risk Factors & Red Flags

The following items are prioritized by severity. All items marked **Red Flag** must be resolved before the file advances.

| Priority | Category | Finding | Classification | |---|---|---|---| | 1 | NAICS/Industry Mismatch | NAICS 722511 (Full-Service Restaurants) does not correspond to the stated industry "Dental Repair Service." The two are entirely unrelated. | ☐ Red Flag — Resolve Before Proceeding | | 2 | Project Address | 7829 Linda Vista Rd, Houston TX 77028 is a single-family residential property (built 1978, 1,772 sq ft, \$260K appraised value) in a residential subdivision. It is not a commercial location and cannot operate as a restaurant or dental repair facility. | ☐ Red Flag — Resolve Before Proceeding | | 3 | Website | Application website is amazon.com — plainly not the applicant's website. | ☐ Red Flag — Resolve Before Proceeding | | 4 | Business Address | 601 Travis with no suite number is the street address of JPMorgan Chase Tower, a Class A office high-rise. No verified tenant relationship found. Consistent with a virtual office or mail-drop address. | ☐ Red Flag — Resolve Before Proceeding | | 5 | Project Description | Contains verbatim placeholder text. No substantive information about the acquisition target, purchase price, or use of proceeds. | ☐ Red Flag — Resolve Before Proceeding | | 6 | Entity Verification | Neither "Lone Star Repair Group LLC" nor "Dental Repair Shop LLC" returned verified Texas SOS entity status from available public sources. Active, good-standing status unconfirmed. | ☐ Red Flag — Resolve Before Proceeding | | 7 | No Online Presence | Neither entity has a website, Google Business profile, Yelp listing, or any other identifiable commercial web presence. |  Watchpoint — Confirm During Underwriting | | 8 | Key-Person | No principals identified. No licenses, qualifications, or operational profile discoverable. |  Watchpoint — Confirm During Underwriting | | 9 | Application Completeness | Multiple critical fields are blank, contain placeholder text, or contain facially incorrect data. This is not a data entry quirk — it is a systemic application integrity issue. | ☐ Red Flag — Resolve Before Proceeding |

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## 9. Diligence Gaps and Recommended Next Steps

### 9a. Items Unable to Verify from Public Sources

| Gap | Source Required | |---|---| | Texas SOS entity status for Lone Star Repair Group LLC and Dental Repair Shop LLC | Texas SOS SOSDirect (paid account, \$1/search): <https://direct.sos.state.tx.us> — or free phone inquiry to Texas Business Information Line at (512) 463-5555 | | Texas Comptroller taxable entity status (free alternative) | Texas Comptroller Entity Search: <https://mycpa.cpa.state.tx.us/coa/Index.jsp> | | DBA / Assumed Name filings for Dental Repair Shop LLC | Texas SOS (Form 503 filings) and/or Harris County Clerk's office — county-level assumed name certificates are filed with the county clerk | | Harris County Appraisal District full record for 7829 Linda Vista Rd (zoning, legal owner, tax payment history) | Harris Central Appraisal District: <https://hcad.org> — portal requires interactive session | | FEMA flood zone designation for 7829 Linda Vista Rd | FEMA Flood Map Service Center: <https://msc.fema.gov/portal/home> — interactive map tool did not render via web fetch | | UCC lien filings against either entity | Texas SOS UCC search: <https://direct.sos.state.tx.us> — requires paid SOSDirect account | | Federal court records (PACER) for either entity | PACER federal court records index — requires registered PACER account; full coverage not available through public web search | | Harris County civil court records | Harris County District Clerk: <https://www.hcdistrictclerk.com> — interactive search, requires case-by-case query | | OSHA IMIS inspection history | OSHA IMIS public search at <https://www.osha.gov/pls/imis/establishment.html> — returned no results for either name, but interactive database may require direct query | | EPA ECHO environmental enforcement | EPA ECHO: <https://echo.epa.gov> — no records returned for either name in web search; direct database query recommended | | Texas DSHS / dental licensing for any qualifying individual | If the actual business involves dental equipment repair or dental laboratory work, a Texas State Board of Dental Examiners licensing check would be required: <https://www.tsbde.texas.gov> | | Restaurant / food service licensing (TABC, DSHS) | If the acquisition target is a restaurant: TABC for alcohol permit at <https://www.tabc.texas.gov> and DSHS food establishment licensing database |

### 9b. Recommended Additional Diligence

#### Documents to Request from the Applicant:

1. Corrected and complete application — legal entity name, correct NAICS code, substantive project description, actual business website (if any), and actual business address with suite/unit.
2. Texas SOS Certificate of Formation or equivalent formation documents for both entities.



3. Signed lease or occupancy agreement for the stated business address (601 Travis or actual operating location).
4. Executed or draft Letter of Intent or Purchase Agreement identifying: (a) the name and address of the acquisition target, (b) purchase price and allocation, (c) seller identity, and (d) any earnout or seller financing terms.
5. Three years of federal tax returns for the acquisition target (business).
6. Current-year profit & loss statement and balance sheet for the acquisition target.
7. Three years of federal tax returns for the borrowing entity (Lone Star Repair Group LLC).
8. Copies of all applicable licenses for the acquisition target (food service handler's permit, TABC license if applicable, health department certificate, certificate of occupancy for the operating location).
9. Proof of identity and ownership structure for the borrowing entity (Operating Agreement identifying members and percentage interests).
10. If the project address is not an error: documentation explaining the role of 7829 Linda Vista Rd in the transaction (deed, lease, or explanation of intended use).

#### **Questions for the Borrower Interview:**

1. What specific business is being acquired — name, address, concept, years of operation?
2. What is the purchase price and how was it determined?
3. What NAICS code actually describes the acquisition target? Is it a restaurant or a dental services business?
4. What is the correct business address for Lone Star Repair Group LLC? Does the entity currently operate from 601 Travis, and if so, what specific space?
5. Why is 7829 Linda Vista Rd listed as the project address? Is the applicant contemplating converting a residential property to a business use, or is this an error?
6. Who are the owners and day-to-day operators of Lone Star Repair Group LLC?
7. What is the applicant's relevant industry experience in either dental repair or restaurant operations?
8. How is the equity injection for this acquisition being funded?
9. Does the acquisition target have any existing liens, judgments, or tax arrears?
10. What is the proposed lease structure for the acquisition target's operating location post-acquisition?

#### **Third-Party Reports:**

- **Business Valuation:** Required for any acquisition under SBA SOP 50 10. An independent, USPAP-compliant business valuation from a Certified Valuation Analyst (CVA) or Accredited in Business Valuation (ABV) professional should be ordered once the acquisition target is identified.
- **Lien Search:** Full UCC, tax lien, judgment, and mechanics lien search on the acquisition target (by entity name and the seller's name) and on Lone Star Repair Group LLC.
- **Phase I Environmental Site Assessment:** Required if the acquisition includes real property. If 7829 Linda Vista Rd is in fact part of the collateral package, a Phase I is mandatory given the residential character of the neighborhood and potential for unknown prior uses.
- **Appraisal:** If any real property is pledged as collateral or included in the acquisition, a FIRREA-compliant commercial appraisal is required.
- **TABC / Health Department Search:** If acquisition target is a restaurant, verify active permits with no outstanding violations.

#### **Site Visit Observations:**

- Verify that 601 Travis actually houses an operating suite occupied by the borrower, not a mailbox or virtual office.
- Visit the project address at 7829 Linda Vista Rd to confirm its actual use and physical characteristics.
- Visit the acquisition target's operating location (once identified) to observe: seating capacity, condition of kitchen equipment, signage, staffing levels, and customer traffic.

#### **Material Conditions to Attach to Any Loan Approval (if application is corrected and credit-approved):**

- Receipt and satisfactory review of a third-party business valuation confirming the purchase price is within fair market value range.
- Receipt of fully executed purchase agreement with complete asset/goodwill allocation.
- Verification of active, transferable food service and TABC permits (if applicable) with no outstanding orders.
- Landlord estoppel and consent to assignment for the operating location lease.
- Evidence of satisfactory equity injection in accordance with SBA SOP requirements.

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## **10. Sources**

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| # | Source | URL | Date Accessed | |---|---|---|---| | 1 | NAICS.com — NAICS Code 722511 Definition | <https://www.naics.com/naics-code-description/?code=722511> | May 11, 2026 | | 2 | SICCode.com — NAICS 722511 Full-Service Restaurants | <https://siccode.com/naics-code/722511/full-service-restaurants> | May 11, 2026 | | 3 | MainStreet Competes — NAICS 722511 SBA Size Standards | <https://mainstreet-competes.com/naics/722511> | May 11, 2026 | | 4 | NAICSList.com — NAICS 722511 SBA Size Standard (\$12M) | <https://naicslist.com/naics/722511> | May 11, 2026 | | 5 | Hines — 601 Travis Property Description | <https://www.hines.com/properties/601-travis-houston> | May 11, 2026 | | 6 | LoopNet — 601 Travis St, Houston TX 77002 Listing | <https://www.loopnet.com/Listing/601-Travis-St-Houston-TX/3940456/> | May 11, 2026 | | 7 | Capital Realty Group — 601 Travis Building Data | <https://www.capcommercialrealestate.com/listings/601-travis-street/> | May 11, 2026 | | 8 | HAR.com — 7829 Linda Vista Rd Property Record | <https://www.har.com/homedetail/7829-linda-vista-rd-houston-tx-77028/9301995> | May 11, 2026 | | 9 | HAR.com — Linda Vista Rd Street Properties | <https://www.har.com/linda-vista-rd-houston-tx/real-estate-by-street> | May 11, 2026 | | 10 | USDA ERS — Full-Service Restaurant Sales 2024 | <https://www.ers.usda.gov/data-products/charts-of-note/chart-detail?chartId=113355> | May 11, 2026 | | 11 | Deloitte — Future of Restaurants Study 2025 | <https://www.deloitte.com/us/en/industries/consumer/articles/future-of-restaurants-study.html> | May 11, 2026 | | 12 | ResearchAndMarkets — Full-Service Restaurants Market Forecast | <https://www.researchandmarkets.com/report/full-service-restaurant> | May 11, 2026 | | 13 | Rezku — 98 Restaurant Industry Statistics 2025 | <https://rezku.com/blog/restaurant-industry-statistics/> | May 11, 2026 | | 14 | Webstaurantstore — Restaurant Industry Statistics | <https://www.webstaurantstore.com/blog/4852/restaurant-industry-statistics.html> | May 11, 2026 | | 15 | Bank of America — State of the Restaurant Industry Report | <https://business.bofa.com/en-us/content/restaurant-industry-report.html> | May 11, 2026 | | 16 | BizBuySell — Restaurant Valuation Multiples | <https://www.bizbuysell.com/learning-center/valuation-benchmarks/restaurants/> | May 11, 2026 | | 17 | BizBuySell — Industry Valuation Multiples Overview | <https://www.bizbuysell.com/learning-center/industry-valuation-multiples/> | May 11, 2026 | | 18 | WeSellRestaurants — How to Value a Restaurant 2025 | <https://blog.wesellrestaurants.com/how-to-value-a-restaurant-business-in-2025-a-practical-guide-for-buyers-and-sellers> | May 11, 2026 | | 19 | Peak Business Valuation — Restaurant Valuation Multiples | <https://peakbusinessvaluation.com/valuation-multiples-for-a-restaurant/> | May 11, 2026 | | 20 | Auxo Capital Advisors — Restaurant Valuation Multiples 2025-2026 | <https://auxocapitaladvisors.com/restaurant-valuation-multiples-ebitda-sde/> | May 11, 2026 | | 21 | Houston First — 2024 Houston Food Scene Report | <https://www.houstonfirst.com/news/2024-marked-exceptional-year-for-houston-food-scene> | May 11, 2026 | | 22 | CultureMap Houston — Houston Restaurant Industry 2025 | <https://houston.culturemap.com/news/restaurants-bars/best-new-restaurants-houston-2025/> | May 11, 2026 | | 23 | Your Dental Lawyer — Dental Practice Ownership and DSO Registration in Texas | <https://www.yourdentalawyer.com/resources/ownership-of-dental-practices-registration-requirements-for-dental-service-organizations-in-texas> | May 11, 2026 | | 24 | Texas Secretary of State — Business Services Portal | <https://www.sos.state.tx.us/corp/index.shtml> | May 11, 2026 | | 25 | SwitchOnBusiness — Texas SOS Business Search Guide | <https://switchonbusiness.com/business-search/texas-secretary-of-state/> | May 11, 2026 | | 26 | JPMorgan Chase Tower Houston Website | <https://jpmctowerhouston.com/> | May 11, 2026 |

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*This memorandum reflects research completed on May 11, 2026, using publicly accessible web sources. It does not constitute a credit decision or recommendation to approve or deny. Findings based on applicant-provided data are treated as unverified assertions until confirmed by the loan officer or underwriter through independent documentation.*